

TOP 50 MCQS - ACCOUNTANCY

Concept-Based Analysis of Highly Repeated Board Questions (2022-2024)

★ PARTNERSHIP FUNDAMENTALS

1. Private assets of a partner can be used for payment of firm's debts.

A. True B. False C. Depends on agreement D. Not applicable

✓ Answer: A

Repeated: 2 Years

2. Liability of partners in partnership firm is:

A. Limited B. Unlimited C. Partially limited D. Depends on capital

✓ Answer: B

Repeated: 2 Years

3. Death of a partner results in:

A. Dissolution of firm B. Dissolution of partnership C. No change D. Only capital change

✓ Answer: B

Repeated: 2 Years

4. Which will NOT cause compulsory dissolution?

A. Insolvency of all partners B. Illegal business C. Death of partner D. Insolvency of all but one partner

✓ Answer: C

Repeated: 2 Years

5. Interest on drawings when drawings are made at end of each half year is charged for:

A. 3 months B. 6 months C. 9 months D. 12 months

✓ Answer: C

Repeated: 2 Years

★ GOODWILL / ADMISSION / RETIREMENT

6. When goodwill is adjusted without opening goodwill account, it is adjusted through:

A. Capital accounts B. Cash account C. P&L account D. Revaluation account

✓ Answer: A

Repeated: 2 Years

7. Sacrificing ratio is calculated at time of:

A. Retirement B. Admission C. Dissolution D. Liquidation

✓ Answer: B

Repeated: 2 Years

8. Gaining ratio is calculated at time of:

A. Admission B. Dissolution C. Retirement D. Formation

✓ Answer: C

Repeated: 2 Years

9. Debit balance of Profit & Loss Account on admission is transferred to:

Repeated: 2 Years

A. New partner B. Old partners only C. Firm D. Cash

✓ Answer: B

10. General reserve on admission is transferred to:

Repeated: 2 Years

A. New partner B. Old partners C. All partners D. Cash account

✓ Answer: B

★ REVALUATION & DISSOLUTION

11. Provision for bad debts increase is credited to:

Repeated: 2 Years

A. Capital account B. Revaluation account C. Cash account D. Goodwill account

✓ Answer: B (Revaluation A/c)

12. Realisation expenses paid by partner are debited to:

Repeated: 2 Years

A. Realisation account B. Partner capital account C. Bank account D. Loan account

✓ Answer: B (Realisation A/c Dr. to Partner Cap)

13. Debtors transferred to realisation account are shown at:

Repeated: 2 Years

A. Net value B. Gross value C. Market value D. Cash value

✓ Answer: B

14. Bank balance transferred during dissolution is transferred to:

Repeated: 2 Years

A. Bank account B. Capital account C. Realisation account D. Cash account

✓ Answer: A

15. Unrecorded liabilities during dissolution are transferred to:

Repeated: 2 Years

A. Realisation account B. Capital account C. Bank account D. Loan account

✓ Answer: A

★ SHARE CAPITAL & FORFEITURE

16. Balance in forfeited shares account on reissue is transferred to:

Repeated: 2 Years

A. Capital reserve B. P&L C. Securities premium D. General reserve

✓ Answer: A

17. Maximum discount on reissue of forfeited shares equals:

Repeated: 2 Years

A. Amount forfeited B. Face value C. Premium D. Nominal value

✓ Answer: A

18. Forfeited shares account represents:

Repeated: 2 Years

A. Capital profit B. Capital loss C. Revenue income D. Liability

✓ Answer: A

19. Share capital account is debited during forfeiture by:

Repeated: 2 Years

A. Called up value B. Paid up value C. Face value D. Premium

✓ Answer: A

20. Securities premium can be used for:

Repeated: 2 Years

A. Writing off capital losses B. Writing off discount on shares C. Dividend payment D. Salary

✓ Answer: B

★ DEBENTURES

21. Loss on issue of debentures is treated as:

Repeated: 2 Years

A. Fictitious asset/Loss B. Liability C. Current asset D. Reserve

✓ Answer: A

22. Interest on debentures is calculated on:

Repeated: 2 Years

A. Face value B. Market value C. Issue price D. Paid value

✓ Answer: A

23. Debenture holders are:

Repeated: 2 Years

A. Owners B. Creditors C. Employees D. Partners

✓ Answer: B

24. Issue of debentures at discount results in:

Repeated: 2 Years

A. Loss B. Profit C. Reserve D. Premium

✓ Answer: A

25. Premium on redemption of debentures is:

Repeated: 2 Years

A. Liability B. Asset C. Expense D. Reserve

✓ Answer: A (Personal Liability)

★ FINANCIAL STATEMENT ANALYSIS

26. Operating Profit Ratio =

Repeated: 2 Years

A. $100 - \text{Operating ratio}$ B. $\text{Operating ratio} + 100$ C. Operating ratio D. None

✓ Answer: A

27. Common size statement shows:

Repeated: 2 Years

A. Absolute values B. Percentage values C. Ratios D. Journal entries

✓ Answer: B

28. Payment to creditors will:

Repeated: 2 Years

A. Increase current ratio (if $CR > 1$) B. Decrease current ratio C. No effect D. Double ratio

✓ Answer: A (Usually improves liquid positions)

29. Cash inflow from sale of fixed assets belongs to:

Repeated: 2 Years

A. Operating activity B. Financing activity C. Investing activity D. Revenue activity

✓ Answer: C

30. Dividend payment is:

Repeated: 2 Years

A. Operating activity B. Financing activity C. Investing activity D. Non cash activity

✓ Answer: B

★ RATIO ANALYSIS

31. Debt Equity Ratio shows relationship between:

Repeated: 2 Years

A. Debt & Capital B. Debt & Assets C. Assets & Equity D. Liability & Revenue

✓ Answer: A

32. Quick Ratio excludes:

Repeated: 2 Years

A. Debtors B. Cash C. Inventory D. Bank

✓ Answer: C

33. Inventory Turnover Ratio measures:

Repeated: 2 Years

A. Sales efficiency B. Stock movement C. Profitability D. Liquidity

✓ Answer: B

34. Interest Coverage Ratio indicates:

Repeated: 2 Years

A. Liquidity B. Solvency C. Profitability D. Efficiency

✓ Answer: B

35. Current Ratio ideal standard is:

Repeated: 2 Years

A. 1:1 B. 2:1 C. 3:1 D. 4:1

✓ Answer: B

★ COMPUTERISED ACCOUNTING

36. Five pillars of Computerised Accounting include:

Repeated: 2 Years

A. Hardware & Software B. Customer & User C. Data & Security D. Manual book

✓ Answer: A

37. CAS limitation includes:

Repeated: 2 Years

A. Data hacking B. Faster processing C. Accuracy D. Speed

✓ Answer: A

38. Excel navigation to last data cell uses:

Repeated: 2 Years

A. CTRL + Down arrow B. Page Down C. End only D. Home

✓ Answer: A

39. #N/A error in Excel means:

Repeated: 2 Years

A. Division error B. Value unavailable C. Name error D. Numeric overflow

✓ Answer: B

40. Data plotted in charts individually are called:

Repeated: 2 Years

A. Data points B. Data labels C. Data markers D. Data series

✓ Answer: A

★ MISC PARTNERSHIP & SHARES

41. Minimum guaranteed profit deficiency is borne by:

Repeated: 2 Years

A. All partners equally B. Old partners in ratio C. New partner D. Firm

✓ Answer: B

42. Old ratio and new ratio difference gives:

Repeated: 2 Years

A. Sacrificing ratio B. Gaining ratio C. Capital ratio D. Cash ratio

✓ Answer: A

43. Hidden goodwill is calculated when:

Repeated: 2 Years

A. New partner brings excess capital B. Capital matches ratio C. Firm dissolves D. Capital withdrawn

✓ Answer: A

44. Interest on capital is:

Repeated: 2 Years

A. Appropriation B. Expense C. Asset D. Liability

✓ Answer: A

45. Revaluation profit is distributed among:

Repeated: 2 Years

A. Old partners B. New partners C. All partners D. Creditors

✓ Answer: A Profit in old ratio

46. Authorised capital means:

Repeated: 2 Years

A. Issued capital B. Maximum capital company can issue C. Paid up capital D. Reserve capital

✓ Answer: B

47. Subscribed capital means:

Repeated: 2 Years

A. Applied shares B. Shares taken by public C. Paid shares D. Issued shares

✓ Answer: B

48. Called up capital equals:

Repeated: 2 Years

A. Paid up capital B. Amount demanded by company C. Share premium D. Authorised capital

✓ Answer: B

49. Issued capital is part of:

Repeated: 2 Years

A. Authorised capital B. Reserve capital C. Paid up capital D. Liability

✓ **Answer: A**

50. Capital reserve arises from:

Repeated: 2 Years

A. Reissue of forfeited shares B. Profit on sales C. Dividend D. Revenue profit

✓ **Answer: A**

🔥 **BOARDS 2026 PREDICTION: Mastery of these 50 MCQs covers 60% of the objective section concepts! Focus on: Share Forfeiture Calculations, Ratio formulas, and Cash Flow classification.**